

2. Microeconomics and Macroeconomics – An Introduction

The terms – microeconomics and macroeconomics were first coined and used by **Ragnar Frisch** and have now been adopted by economists all over the world. Thus, the subject matter of economics have been divided into two parts – microeconomics and macroeconomics. The economic behaviour at individual level is studied under microeconomics and the choice making behaviour of the society as a whole is studied under macroeconomics.

2.1 Meaning of Microeconomics

The word, '**micro**' has been derived from the Greek word '**mikros**' meaning small. In this context microeconomics deals with small parts of the economy. *Microeconomics studies behaviour of small economic units of an economy like individual consumers, producers and resource owners (factors of production).* In **MICRO**, the letter '**I**' stands for individuals. Thus, **microeconomics studies the economic behaviour of individuals**. Consumers decide how much of various goods to purchase, producers decide how much output to produce. Every consumer allocates his resources to the purchase of different goods to maximise his satisfaction. Similarly every producer tries to allocate his resources in a manner that maximise his profits. Prices have their important effects on these individual decisions. That is why, microeconomics is sometimes called '**price theory**'.

SCOPE

Microeconomics deals with the following questions:

- (a) How individual consumers distribute their money income on the purchase of various goods and services i.e., **theory of Demand**.
- (b) How producers use quantity of different factors of production i.e., **theory of production**.
- (c) How producers use different factors of production to minimise cost of production i.e., **theory of cost**.
- (d) How prices of different goods are determined i.e., **theory of product pricing**.
- (e) How the produced output is shared or distributed among different factors of production i.e., **theory of distribution**.
- (f) Whether resources are efficiently allocated to maximise output and welfare i.e., **welfare economics**.

Thus, the theory of product pricing and the theory of factor pricing (or the theory of distribution) fall within domain of microeconomics.

2.2 Meaning of Macroeconomics

We now turn to explain the meaning of macroeconomics. The term '**macro**' has been derived from a Greek word '**makros**' which means large. In the context of macroeconomics '**large**' means **aggregates or groups of entire economy**. In **MACRO**, the letter '**A**' stands for aggregates.

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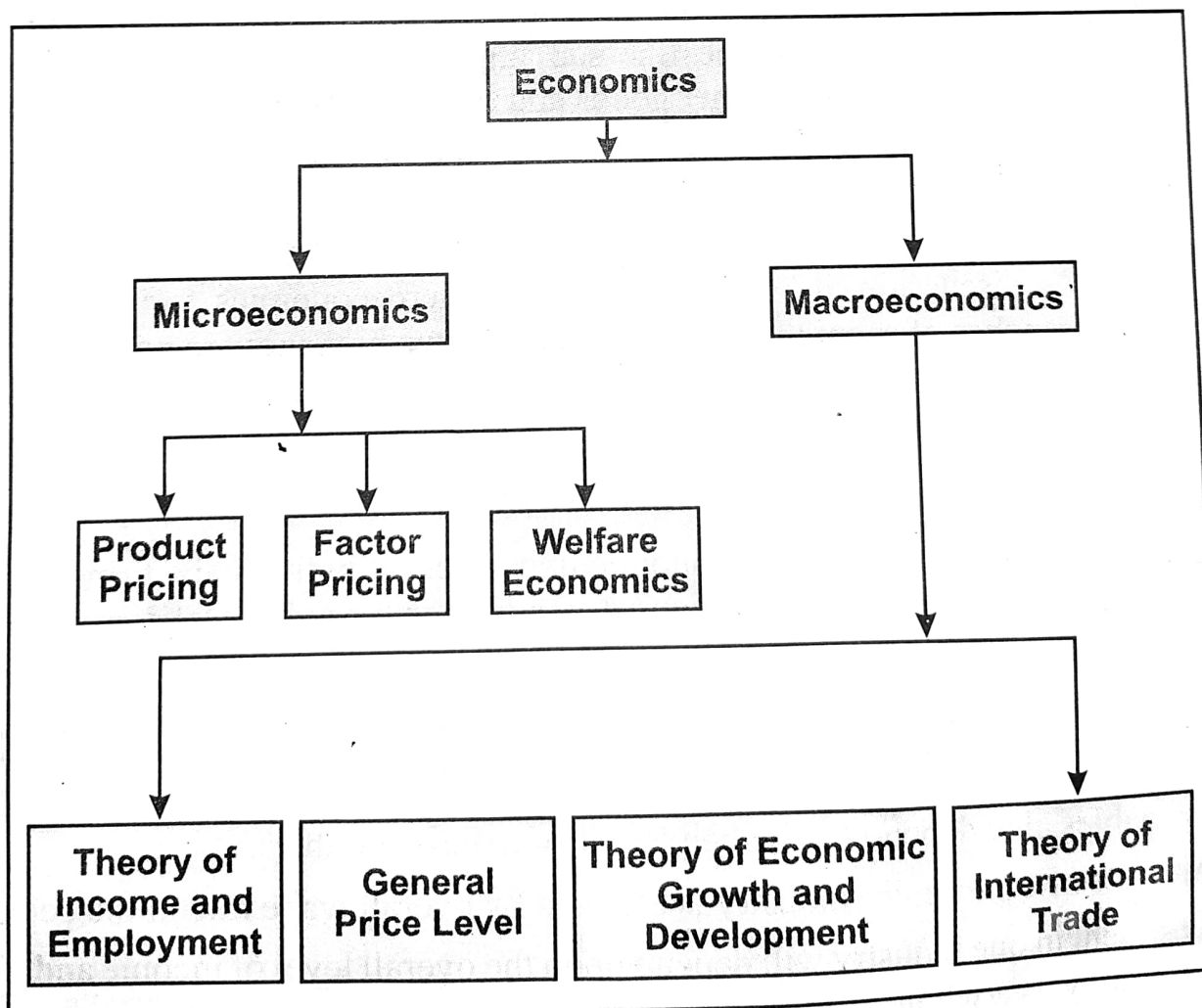
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Thus, macroeconomics studies the aggregates of an economy or economy as a whole e.g., gross domestic product, total employment, aggregate demand, aggregate supply, general price level etc. It, thus, focuses on macroeconomic variables. That is why macroeconomics has also been called “**aggregative economics**”. According to **Prof. Boulding** “Macroeconomics deals not with individual quantities as such but with aggregates of these quantities, not with individual incomes but with the national income, not with the individual output but the national output”.

SCOPE

Macroeconomics explains the following :

- (i) It seeks to explain how national income (economy's total output of final goods and services) is determined. Since the subject matter of macroeconomics revolves around determination of the level of income and employment, it is known as ‘**Theory of Income and Employment**’.
- (ii) It explains the general price level. It explains why sometimes prices rise i.e., problem of inflation, and why at other times general price level falls i.e., problem of deflation.
- (iii) It also studies issues concerned with economic growth and development.
- (iv) Further, it also describes issues relating to international trade and determination of prices of different foreign currencies.



2.3 Distinction between Microeconomics and Macroeconomics

We may now sum up the distinction between microeconomics and macroeconomics as under :

Basis	Microeconomics	Macroeconomics
1. Meaning	Microeconomics is the study of individual economic units of an economy such as a consumer, a producer etc.	Macroeconomics is the study of economy as a whole and its aggregates such as national income, total consumption, general price level etc.
2. Scope	Microeconomics is primarily concerned with the determination of relative prices of goods (i.e., prices of goods individually).	Macroeconomics is concerned with the determination of aggregate output and general price level in the economy as a whole.
3. Tools	Demand and supply of a particular commodity or factor of production are the main tools of microeconomics.	Aggregate demand and aggregate supply of all goods and services are the main tools of macroeconomics.
4. Degree of Aggregation	There is limited amount of aggregation in microeconomics	There is high degree of aggregation in macroeconomics.

Macroeconomics should be carefully distinguished from microeconomics. It should be noted that microeconomics also deals with some 'aggregates', but not of the type with which macroeconomics is concerned. Market demand and market supply of a product are aggregative concepts which are studied under microeconomics. These aggregates are confined to a single product or a single industry. But macroeconomics deals with aggregate output of all goods and services. Macroeconomics also examines the sub-aggregates of these large aggregates. For example, the total production of consumer goods and total production of capital goods are the two important sub aggregates of total production dealt in macroeconomics.

2.4 Interdependence between Microeconomics and Macroeconomics

From the above discussion, it becomes clear that microeconomics and macroeconomics are two separate branches of economics. However, these two branches are not opposite to each other. In fact, the study of one depends upon the study of other.

Examples

(1) Dependence of Macroeconomics on Microeconomics :

- (i) An economy is made of small economic units such as individuals, firms and markets. The aggregate demand of the economy depends upon the individual demand of different households.
- (ii) National income is the sum total of income of all the residents of the economy.

(2) Dependence of Microeconomics on Macroeconomics :

Micro variables also depend on the behaviour of macro variables.

- (i) Wage rate in a particular industry is affected by overall wage rate in the economy.
- (ii) Investment in one industry will depend upon the overall level of income and investment in economy as a whole.

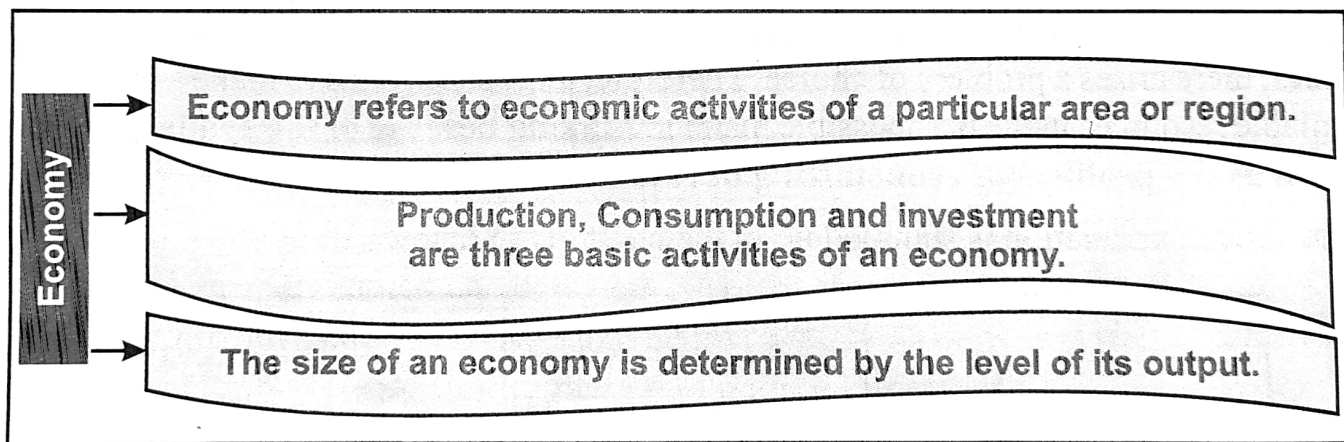
3. What is an Economy?

In economics, the word ‘economy’ refers to production activities of a well defined area or region. It may be a village, a district, a state, a nation or the whole world. The sum total of all production units of a region like factories, farms, mines, offices, banks, schools, colleges, shops, transport system, railways, etc. collectively are called an economy. All these institutions help to produce goods and services which directly and indirectly satisfy human wants. They produce a variety of goods and services on one hand and provide employment to people on the other hand. The size of an economy is determined by the level of output of goods and services it produces.

“Economy is a system by which people get a living (i.e., earning of income) and satisfy their wants,”

“Economy is a system through which productive resources are utilised for satisfying human wants.”

For the survival of economy, people must earn income to spend it on goods and services. For all this to happen, economy must perform three basic activities namely production, consumption and investment. These three economic activities are known as the **essentials or vital processes of an economy**. Production is a process of creating goods and services or increasing the value of goods already produced. Consumption is using up of the produced goods and services which satisfy human wants directly. And investment implies addition to the capital stock of a country that helps in further production. These three activities are interrelated. For example, if there is no production there will be no consumption. And production is meaningless without consumption. For further production investment is necessary.



4. Economic Problem – Meaning and Causes

4.1 Meaning

All goods and services used to carry out production are called resources of an economy. These are also referred to as **factors of production**. These are popularly classified as land, labour, capital and entrepreneurship. But in comparison with unlimited human wants, the resources required to satisfy such wants are limited. This gives rise to the problem of choice which is called economic problem. Thus problem of choice means the problem of allocation of resources to alternative uses.

“Economic problem is basically the problem of making choices in the use of scarce resources for the satisfaction of unlimited human wants.”

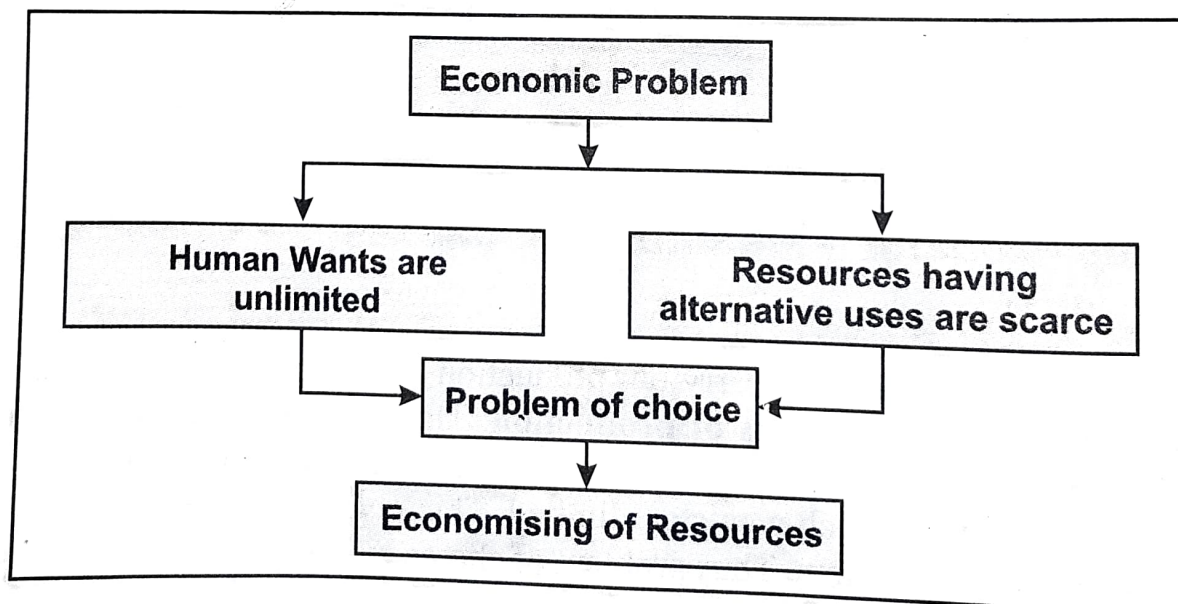
4.2 Causes

The main causes behind the economic problem are :

- (a) **Unlimited human wants** : Human wants are unlimited. As one want is satisfied many other wants emerge. Wants also differ in urgency. Some wants are more urgent than others. This forces a man to make a choice among different wants in order of urgency.
- (b) **Limited resources** : Production of a variety of goods and services require resources. However, compared to the unlimited wants for various goods and services, these resources are scarce. It implies that even if all the available resources are fully employed for producing various goods and services, only a small part of human wants can be satisfied. In view of limited resources, a need to make choices arises. So scarcity of resources is an important reason behind the economic problem in any society.
- (c) **Resources have alternative uses** : Resources are not only limited but also have alternative uses. Alternative use of resources means that a resource can be put to more than one use. Hence, choice has to be made for different alternative uses. For example, a piece of land can be used for farming, for a playground or for constructing a shopping mall or residential flats. Its implication is that a resource can be used at a time for only one purpose. This makes a resource all the more scarce because when it is used for one purpose, it cannot be used for other purposes.

In short, scarcity and choice go together which means whenever there is question of scarce resources, there arises a problem of choice. Therefore, an economy has to make a choice among its available resources in the best possible manner. **Making best use of the available resources is known as the problem of economizing of resources.**

The above explanation is summed up in the chart given below.



5. Central (Basic) Problems of an Economy

Every economy has to face a choice problem which is called a central problem. The allocation of resources or making choices among alternative uses of scarce resources is the fundamental problem of an economy. Every economy (rich or poor, small or large) faces three basic (central) problems. These problems are common to all economies, and hence, sometimes are called **economic problems**. These problems are: what to produce, how to produce and for whom to produce. In fact, these three problems come under the **central problem of allocation of resources**. Allocation of resources refers to the problem of allocating the scarce resources in such a manner that maximum wants of the society are fulfilled.

5.1 What to Produce and In What Quantities

This problem has two aspects : (a) What goods to produce, and (b) How much to produce.

Every economy has to decide what commodities are to be produced and in what quantities. This problem is faced because resources are limited on one hand and have alternative uses on the other. In view of these features of resources, when we produce more of a commodity, it means we will be able to produce less of another. Because more production of one commodity would force us to withdraw resources from the production of the other commodity. So the economy has to choose between consumer goods (like *ghee*, wheat, cloth, sugar, etc.) and capital goods (like machines, equipments etc.). Similarly, choice has to be made between war goods like guns, tanks etc. and normal goods like bread and butter, milk etc.

After deciding the goods to be produced economy has also to decide the quantity of output of each chosen good.

5.2 How to Produce

The second basic problem that every economy has to face is that of deciding how to produce the chosen goods and services. A particular quantity of a particular good or service can be produced in many different ways. The economy must choose a particular way of producing the specified amount of the good. This problem relates to the **choice of technique of production**. This becomes necessary for efficient production. Labour intensive techniques help to reduce unemployment whereas capital intensive techniques are considered better for fast growth of the economy. Therefore an economy must decide about the technique of production to be used in a given industry.

Example

A given quantity of cloth can be produced either by using labour intensive technique (handlooms) or by using capital intensive technique (modern machines). The guiding principle here is to adopt that technique which minimise the per unit cost of production of the commodity. The goods and services should be produced efficiently.

5.3 For Whom to Produce

The third aspect of the central problem of allocation of resources relates to the **problem of distribution** of the produce among the various individuals or factors of production. In other words, who should get more or who should get less. This is the problem of distribution of final goods and services.

The problem 'For Whom to Produce' has two aspects.

- (i) The first aspect relates to **personal distribution of income**. It implies how the produced output (or income) should be distributed among individuals or households in the society. This problem is concerned with the problem of inequality in the distribution of income.
- (ii) The second aspect of this problem relates to **functional distribution of income**. How should production be distributed among different factors of production viz. land, labour, capital and entrepreneur.

It is important to note that besides the problem of allocation of resources, there are two more central problems namely (i) **Problem of fuller and efficient utilisation of resources**, and (ii) **Problem of growth of resources**. But these two problems go beyond the scope of our syllabus.

6. Production Possibility Curve

6.1 Meaning

With the given amount of resources, it is possible to allocate the resources in different ways and thereby leading to different possible combinations of goods and services. The various possible combinations of goods and services that can be produced with full and efficient employment of resources and technology is called the **production possibilities** of an economy. *When this production possibility set is graphed, it is called production possibility curve or frontier. (PPC or PPF)*

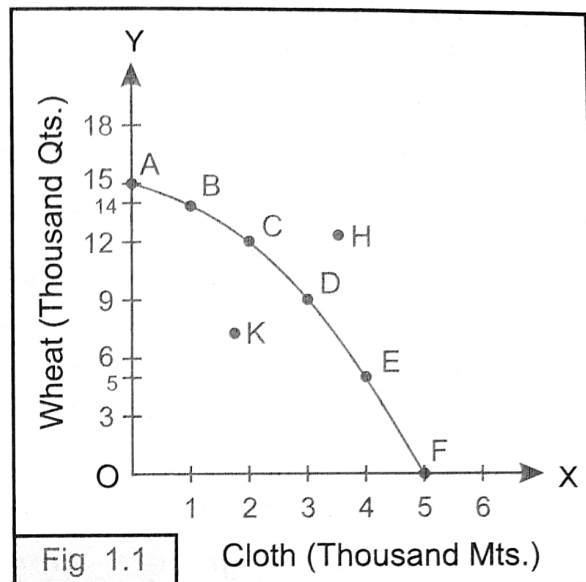
There is maximum limit (or boundary) to the amount of goods and services which an economy can produce with full and efficient use of its available resources and given technology. That is why PPC is called production possibility frontier (boundary). Table 1.1 and Fig 1.1 indicate that if the economy decides to use all its resources in the production of cloth, it can produce 5 thousand meters of cloth. And if it decides to use all its resources in the production of wheat it can produce maximum 15 thousand quintals of wheat. There are also other possible combinations of two goods that can be produced with full and efficient utilization of resources. These combinations in the table and diagram are B, C, D and E. The economy has to choose out of these various production possibilities. If more of the resources are used in the production of cloth, less resources are available for the production of wheat and vice-versa.

Table 1.1 shows various production possibilities as A, B, C, D, E and F. By plotting all these production possibilities on a graph, we obtain a production possibility curve AF as shown in Fig. 1.1. All points on the PP curve indicate full and efficient utilization of resources. An economy has to make sure its production on the PP curve. Mind, PP curve only shows production possibilities, it does not say on which point the economy will actually operate.

Production of possibility curve is also known as transformation curve as moving along the curve implies transformation of one good into the other by transferring resources.

Table 1.1 : Production Possibilities Schedule

Production Possibilities	Cloth (in thds. meters)	Wheat (in thds. quintals)
A	0	15
B	1	14
C	2	12
D	3	9
E	4	5
F	5	0



Attainable and Unattainable Combinations of Output

Economy will operate at any point (like A, B, C, D on PPC) when resources are fully and efficiently utilised. But if resources are not fully and efficiently utilised, economy will operate at any point (like K) inside the PPC. All combinations of output that lie on or inside the PPC are attainable combinations. Thus, there can be two attainable options :

- optimum utilisation of resources (if resources are best utilised) and
- inefficient utilisation of resources (if there is wastage or inefficient utilisation of resources).

All combinations that lie on or inside the PPC are called **production possibilities set** of the economy.

An economy with the given amount of available resources economy cannot operate at any point outside the PPC (like H) as it is not possible with the available resources and technology. Such combinations are called unattainable combinations.

Thus, Production possibility curve can be defined as a curve which separates attainable combinations from the unattainable combinations.

6.2 Assumptions

The concept of production possibility curve is based on the following assumptions :

- The resources available are fixed.
- The technology remains unchanged.
- The resources are fully and efficiently employed
- The resources are not equally efficient in the production of all goods.